

Chapter Outline

1.1. Definition and back ground

1.2. Importance of Human resource management

1.3. Evolution and Development of Human resource Management

1.4. Human Resource management objectives

Human resource management is the process of accomplishing organizational objectives by acquiring, retaining, terminating, developing and properly using the human resources in an organization. (Ivncevich)

HRM is the planning, organizing, directing and controlling of the procurement development, compensation, integration, maintenance, and separation of human resources to the end that individual organizational, and societal objectives are accomplished (Flippo)

In the above definition Flippo has tried to point out that a personnel/human resource manager is a manager who exercises authority and leadership over other personnel and thus must perform the basic function of management.

Functions of Human Resource Management

- The main functions of human resource management are classified into two categories:
- (a) Managerial Functions and (b) Operative Functions
- **(a) Managerial Functions** Following are the managerial functions of Human Resources Management.

1. **Planning:** The planning function

- ❖ to determining in advance personnel requirements
- ❖ personnel programs, policies etc.
- ❖ to devise ways and means to motivate them

- **2. Organization** to organize the operative functions by
 - preparation of task force;
 - allocation of work to individuals;
 - integration of the efforts of the task force;
 - coordination of work of individual with that of the department
- **3. Directing**
 - initiation of organized action and stimulating the people to work.
 - directs the activities of people of the organization .
 - guides and motivates the staff of the organization to follow the path laid down in advance

- **4. Controlling function**

- It provides basic data for establishing standards
- makes job analysis and performance appraisal, etc.
- To control of the qualities, time and efforts of workers

- **(b) Operative Functions**

- **1. Procurement of Personnel** : It is concerned with

- obtaining of the proper kind and number of personnel necessary to accomplish organization goals.
- determination of manpower requirements, their recruitment, selecting, placement and orientation, etc.

- **2. Development of Personnel** : Development has

- to do with the increase through training, skill that is necessary for proper job performance.
- Framing a sound promotion policy,
- determination of the basis of promotion
- making performance appraisal .

- **3. Compensation of Personnel :** Compensation means
- determination of adequate and equitable remuneration of personnel for their contribution to organization objectives.
- To determine the monetary compensation for various jobs .
- A number of decisions are taken into the function:
- job-evaluation, remuneration,
- policy, incentive and premium plans,
- bonus policy and co-partnership, etc.
- It also assists the organization for adopting the suitable wages and
- salaries, policy and payment of wages and salaries in right time.

- **4. Maintaining Good Industrial Relation:**
- promote industrial peace,
- provide fair deal to workers and establish industrial democracy.
- to make harmonious relations between management and labor,
- To handle industrial unrest take place .
- To manage the moral and physical condition of the employee will not suffer, and
- create harmonious relations with the help of sufficient communication system and co-partnership.
- **5. Record Keeping:** In record-keeping the personnel manager
- To collect and maintain information concerned with the staff of the organization. and used **Record Keeping for** decision making such as in promotions.
- **6. Personnel Planning and Evaluation :** Under this system activities are evaluated such as
- evaluation of performance,
- personnel policy of an organization and its practices,
- personnel audit, morale,
- survey and performance appraisal, etc.

- Human Resource Manager is an individual who normally acts in an advisory or staff capacity, working with other managers to help them deal with human resource matters.
- Now days, HRM has a great deal of contribution in strategic decision making involving the HR perspective.
- **Basically, the HRM performs three major roles**
- a) **A Service Function:** According to the needs of the other departments, the HRM is required to render coordinating services such as
 -
 - § Posting job advertisement
 - § Organizing Training Courses
 - § Keeping personnel records
 - § Operating wage/salary systems
 - § Looking after the firms health and safety arrangements at work, etc

- **b) Control Function:**
 - § Analyzing key operational indices in personnel field like labor turnover, wage costs, absenteeism, etc.
 - § Monitoring labor performance
 - § Recommending appropriate remedial action to line managers.
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 - **Example:** identifying training needs, change of work methods, improved work environments, etc.
- **c) Advisory Function:** Offers expert advice on personnel policies and procedures such as:
 - § Which employees are ready for promotion (as per the policy of the organization, e.g. Based on number of years of service, etc.)
 - § Who should attend certain training course?
 - § How a grievance procedure should be operated.
 - § Interpretation of contracts of employment, health and safety regulation, etc.
 - § Ensuring equal employment opportunity etc.

1.3. Evolution and Development of Human resource Management

- HRM appears to have its origin in the United States in the 1950s

The major reasons for its emergence are;

- 1. Major pressures experienced in the product markets during the decline of 1980-82.
- 2. In USA, trade union influence in collective employment was reaching fewer employees.
- 3. US economy was being challenged by overseas competitors, mainly Japan.
- 4. Declining rate of innovation in American industries.
- 5. Adoption of management styles and concepts – employee commitment and empowerment

The evolution of the concept of Human Resource Management

- **Period before industrial revolution** – The society was primarily an agriculture economy with limited production.
- **Period of industrial revolution (1750 to 1850)** – Industrial revolution marked the conversion of economy from agriculture based to industry based.
- A department was set up to look into workers' wages, welfare and other related issues.
- This led to emergence of personnel management with the major task as
 - - Worker's wages and salaries
 - - Worker's record maintenance
 - - Worker's housing facilities and health care

- **An important event in industrial revolution was growth of Labour Union (1790) –**
- The works working in the industries or factories were subjected to long working hours and very less wages.
- With growing unrest, workers across the world started protest and this led to the establishment of Labor unions.
- To deal with labor issues at one end and management at the other Personnel Management department had to be capable of politics and diplomacy, thus the industrial relation department emerged.
- Post Industrial revolution – The term Human resource Management saw a major evolution after 1850.
- Various studies were released and many experiments were conducted during this period which gave HRM altogether a new meaning and importance.

- **A brief overview of major theories release during this period.**
- Frederick W. Taylor gave principles of scientific management (1857 o 1911) led to the evolution of scientific human resource management approach
 - - Worker's training
 - - Maintaining wage uniformity
 - - Focus on attaining better productivity
- **How-ever The** studies, conducted by Elton Mayo & Fritz Roethlisberger (1927 to 1940).
- Observations and findings of experiment shifted the focus of Human resource from increasing worker's productivity to increasing worker's efficiency through greater work satisfaction

Personnel Management VS Human Resource Management

- They state that the two terms can be used interchangeably, with no difference in meaning.
- In fact, the terms are often used interchangeably in help-wanted ads and job descriptions. the difference can be described as philosophical.
- **Personnel management** -----more administrative in nature, **dealing with payroll, complying with employment law, and handling related tasks.**
- the sole responsibility of an organization's personnel department.
- considered an independent function of an organization.
- to motivate employees with such things as compensation, bonuses, rewards, and the simplification of work responsibilities.
- employee satisfaction provides the motivation necessary to improve job performance.

- Human resources -----

- responsible for managing a workforce as one of the primary resources that contributes to the success of an organization.
- much broader in scope than personnel management
- develop personnel management tasks
- develop teams of workers for the benefit of the organization.
- primary goal of human resources is to enable employees to work to a maximum level of efficiency
- to manage and develop an organization's workforce
- continuous development of functions and policies for the purposes of improving a company's workforce.
- an integral part of overall company function
- holds that improved performance leads to employee satisfaction.

Objectives of Human Resource Management

- - To create and utilize an able and motivated workforce, to accomplish the basic organizational goals.
- - To establish and maintain sound organizational structure
- To desirable working relationships among all the members of the organization.
- - To secure the integration of individual or groups within the organization by co-ordination of the individual and group goals with those of the organization.
- - To create facilities and opportunities for individual or group development so as to match it with the growth of the organization.
- - To attain an effective utilization of human resources in the achievement of organizational goals.
- - To identify and satisfy individual and group needs by providing adequate and equitable wages, incentives, employee benefits and social security and measures for challenging work, prestige, recognition, security, status.

- - To maintain high employees morale and sound human relations by sustaining and improving the various conditions and facilities.
- - To strengthen and appreciate the human assets continuously by providing training and development programs.
- - To provide an opportunity for expression and voice management.
- - To provide fair, acceptable and efficient leadership.
- - To provide facilities and conditions of work and creation of favorable atmosphere for maintaining stability of employment.

- The primary objectives of HRM are to ensure the availability of competent and willing workforce to an organization.

Specifically, HRM objectives are four fold:

societal, organizational, functional and personal.

- **Societal Objectives**

- The Societal Objectives are socially and ethically responsible for the needs and challenges of society.
- to laws that enforce reservation in hiring and laws that address discrimination, safety or other such areas of societal concern.

- **Organizational Objectives**

- The Organizational Objectives recognizes the role of human resources management in bring about organizational effectiveness.

- **Functional Objectives**

- Functional Objectives try to maintain the departments' contribution at a level appropriate to the organizational needs.
- Human resources is to be adjusted to suit the organizational demands

- **Personal Objectives**

- Personal objectives assist employees in achieving their personal goals, at least in so far as these goals enhance the individuals' contribution to the organization.
- Personal objectives of employees must be met if they are to be maintained, retained and motivated.
- Otherwise, employees' performance and satisfaction may decline giving rise to employee turnover.

- The following are some of the factors contributing to the challenges of HRM.
- a) Multifarious (diverse) needs of employees as individuals, as groups and also the organization.
- b) The rise of modern labor union.
- c) The increasing level of educational level of societal members. Such work force seems to have higher expectations about the work they are willing to perform, the degree of autonomy they expect in making decision, and sharing financial gains achieved by the organization.
- d) The increasing size and complexity of the organizations
- e) Changes in the demographics of the workforce. Composition of the workforce in terms of sex (more women in the workforce), age (more younger and educated workforce), ethnic groups (more and more minorities), religion, whether or not the work force constitutes dual-career families or single-parent families, etc.
- f) Increasing government regulation involving employment relation. Example. Equal employment opportunity.
- g) Technological advancement such as office automation (computers, word processing, and management information systems) will change the work environment by decreasing labor-intensive jobs and clerical functions.